

Let us assume that the reader shared my opinion, that the market over the next week had a 70% probability of going up and 30% probability of going down. However, let us say that it would go up by 1% on average, while it could go down by an average of 10%. What would the reader do? Is the reader *bullish* or is he *bearish*?

Table 6.2

Event	Probability	Outcome	Expectation
Market goes up	70%	Up 1%	0.7
Market goes down	30%	Down 10%	-3.00
		Total	-2.3

Accordingly, *bullish* or *bearish* are terms used by people who do not engage in practicing uncertainty, like the television commentators, or those who have no experience in handling risk. Alas, investors and businesses are not paid in probabilities, they are paid in dollars. Accordingly, it is not how likely an event is to happen that matters, it is how much is made when it happens that should be the consideration. How frequent the profit is irrelevant; it is the magnitude of the outcome that counts. It is a pure accounting fact that, aside from the commentators, very few people take home a check linked to how *often* they are right or wrong. What they get is a profit or loss. As to the commentators, their success is linked to how often they are right or wrong. This category includes the “chief strategists” of major investment banks the public can see on T.V., who are nothing better than entertainers. They are famous, seem reasoned in their speech, plow you with numbers, but, functionally, they are there to entertain – for their predictions to have any validity they would need a statistical testing framework. Their fame is not the result of some elaborate test but rather the result of their presentation skills.

AN ARROGANT 29-YEAR-OLD SON

Outside of the need for entertainment in these shallow meetings I have resisted voicing a “market call” as a trader, which caused some personal

strain with some of my friends and relatives. One day a friend of my father – of the rich and confident variety – called me during his New York visit (to set the elements of pecking order straight, he hinted right away during the call that he came by Concorde, with some derogatory comment on the comfort of such method of transportation). He wanted to pick my brain on the state of a collection of financial markets. I truly had no opinion, nor had made the effort to formulate any, nor was I remotely interested in markets. The gentleman kept plowing me with questions on the state of economies, on the European central banks; these were precise questions no doubt aiming to compare my opinion to that of some other “expert” handling his account at one of the large New York investment firms. I neither concealed that I had no clue, nor did I seem sorry about it. I was not interested in markets (“yes, I am a trader”) and did not make predictions, period. I went on to explain to him some of my ideas on the structure of randomness and the verifiability of market calls but he wanted a more precise statement of what the European bond markets would do by the Christmas season.

He came under the impression that I was pulling his leg; it almost damaged the relationship between my father and his rich and confident friend. For the gentleman called him with the following grievance: “When I ask a lawyer a legal question, he answers me with courtesy and precision. When I ask a doctor a medical question, he gives me his opinion. No specialist ever gives me disrespect. Your insolent and conceited 29-year-old son is playing *prima donna* and refuses to answer me about the direction of the market!”

RARE EVENTS

The best description of my lifelong business in the market is “skewed bets”, that is, I try to benefit from rare events, events that do not tend to repeat themselves frequently, but, accordingly, present a large payoff when they occur. I try to make money infrequently, as infrequently as possible, simply because I believe that rare events are not fairly valued, and that the rarer the event, the more undervalued it will be in price.

Why? Because of a psychological bias; people who surrounded me in my career were too focused on memorizing section 2 of the *Wall Street*